

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.18 ▲ 0.00%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$2.00B
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BBAI: Panama Win, Backlog Expansion Support Reiterate Hold

WHAT'S CHANGED

- Stock rallied ~9% over 5 sessions (\$3.84 → \$4.18) on heavy volume (45-65M shares/day vs. typical 25M), driven by Panama cargo security deployment news (5/21-5/22) and backlog expansion narrative (Zacks, 5/25).
- Motley Fool PLTR vs. BBAI comparison piece (5/26) reinforces BBAI's positioning as the "small-cap defense-AI" trade, supporting retail flow into the name.

IMPLICATIONS

The Panama cargo security deal marks BBAI's first material Latin America footprint, validating the international border/trade security TAM expansion thesis beyond DoD/CBP — a key narrative needed to justify the current ~10x EV/Sales multiple. With Technology ETF +6.18% over 5 days and risk-on sentiment returning, BBAI is benefiting from beta exposure to AI thematic flows on top of company-specific catalysts. However, at 18% of its 52-week range and with no concrete revenue conversion visibility from new contracts, the rally is sentiment-driven rather than fundamentally re-rated.

VALUATION

At \$2.0B market cap on ~\$195M FY26E revenue, BBAI trades at ~10x forward EV/Sales — a premium to defense-IT peers (4-6x) but a steep discount to PLTR (~50x). We apply a 9x EV/Sales multiple to FY27E \$245M revenue to derive our \$4.50 PT, implying modest 8% upside. Multiple expansion requires sustained 25%+ revenue growth and a credible path to EBITDA breakeven; contraction risk dominates if backlog conversion slips.

KEY RISKS

- Persistent negative EBITDA and cash burn forcing dilutive capital raises (share count has expanded materially over past 18 months).
- Customer concentration in U.S. federal/defense budgets; CR or sequestration risk delays contract awards.
- Multiple compression if AI thematic rotation cools — stock trades on narrative more than fundamentals.

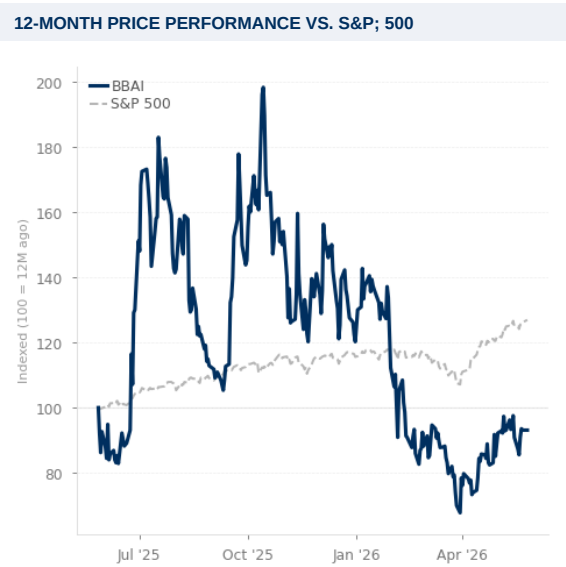
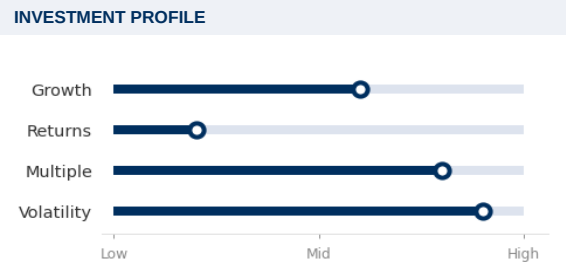
RECENT NEWS

Palantir vs. BigBear.ai: Which AI Stock Is the Better Buy in 2026? Motley Fool · 2026-05-26 20:29

Gorilla Technology to Report Q1 Earnings: Key Estimates Here Zacks · 2026-05-26 17:02

BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth? Zacks · 2026-05-25 13:17

Key Data	
Price (USD)	\$4.18
12M Price Target	\$4.50
Upside / (Downside)	+7.7%
Market Cap	\$2.00B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.18)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.20	\$4.30	\$3.40
6 Months	\$6.50	\$4.75	\$3.00
1 Year	\$8.00	\$5.25	\$2.75
2 Years	\$11.00	\$6.50	\$2.25
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.18% 5D), Industrials (+2.08% 5D)

COLD SECTORS: Comm. Services (-1.22% 5D), Real Estate (lagging)

ROTATION WATCH: Capital is rotating into AI/defense-tech hybrids as fiscal 2027 defense budget visibility improves and border security remains a bipartisan priority into the political cycle.

BYPRODUCT PLAY: Secondary beneficiaries include edge-compute and biometric ID names (e.g., GRRR, IDN) that supply the hardware/identity layer underneath BBAI's analytics stack.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to set the benchmark for defense-AI multiple, with commercial AIP traction driving sustained premium valuation.
- GRRR (Gorilla Technology): Q1 earnings preview drawing attention as a smart-city/security AI peer with similar international contract narrative.

BBAI CONTEXT: BBAI is participating in the AI rally but lagging PLTR's relative strength meaningfully; the stock remains in the lower 18% of its 52-week range despite the recent bounce, suggesting institutional buyers remain skeptical versus retail-driven momentum. Relative performance signals BBAI is still viewed as the higher-risk, lower-quality defense-AI play.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$3.40-3.70 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Revenue miss >10%, backlog contraction, or loss of key DoD/CBP contracts

Hedging: Pair with long PLTR or short AI-thematic basket on rich multiples